

The ongoing reforms in GST are expected to persist, potentially resulting in increased tax revenues. Additionally, the Finance Minister recently swore in Sanjaya Kumar Mishra as the inaugural President of the GST Appellate Tribunal, marking a significant milestone. This inauguration is viewed as the initial stride, with long-awaited tribunals anticipated to commence operations in the coming months.

There is also expectation that the GST rate rationalisation exercise will be taken up

EXPERTS BELIEVE THAT MORE GST REFORMS CAN OCCUR AFTER THE GENERAL ELECTIONS ARE OVER

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after the General Elections. "The impact of such a rationalisation on different states will have to be seen as there is no GST compensation available now. A rate rationalisation may not be a cakewalk as states will not want to lose any revenue," warns Mukherjee.

For the trade and industry sectors, which have eagerly awaited these reforms, their implementation would signify a significant stride forward. By streamlining the tax structure and expediting the appeals process, these reforms actually promise to catalyse a positive transformation. These reforms could further improve compliance and potentially result in increased tax revenues. **BT**

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MARKETS

Fear Grips the Street

General Elections and fears over US inflation are spooking the Indian markets. How long will the uncertainty continue?

BY RAHUL OBEROI

▶ **THE INDIA VIX**, also known as the volatility index, experienced a surge of over 100% in just 13 trading sessions till May 13. This sharp surge was propelled by a combination of factors, including the ongoing General Elections in the nation, relentless selling by foreign portfolio investors (FPIs), and broader global dynamics like the US Federal Reserve's move on interest rates. Serving as a metric for gauging market expectations regarding volatility in the forthcoming 30 days, the India VIX is commonly recognised as the "fear gauge".

Market watchers believe that during the Lok Sabha elections, the markets tend to be volatile, causing concern for traders. In 2019, the India VIX index hit a high of 28.66 during April-May, coinciding with the election period. This index is computed on the basis of the Nifty index option prices. A higher value indicates a higher anticipated volatility, while a lower value suggests that option traders are not expecting significant fluctuations.

The India VIX index climbed to 20.60 on May 13, the highest

VOLATILE TIMES

- The India VIX index rose over 100% in 13 session till May 13
- The benchmark Nifty index is down over 1% from its all-time high

